

E-commerce Growth Strategy: Increasing Revenue & Customer Lifetime Value

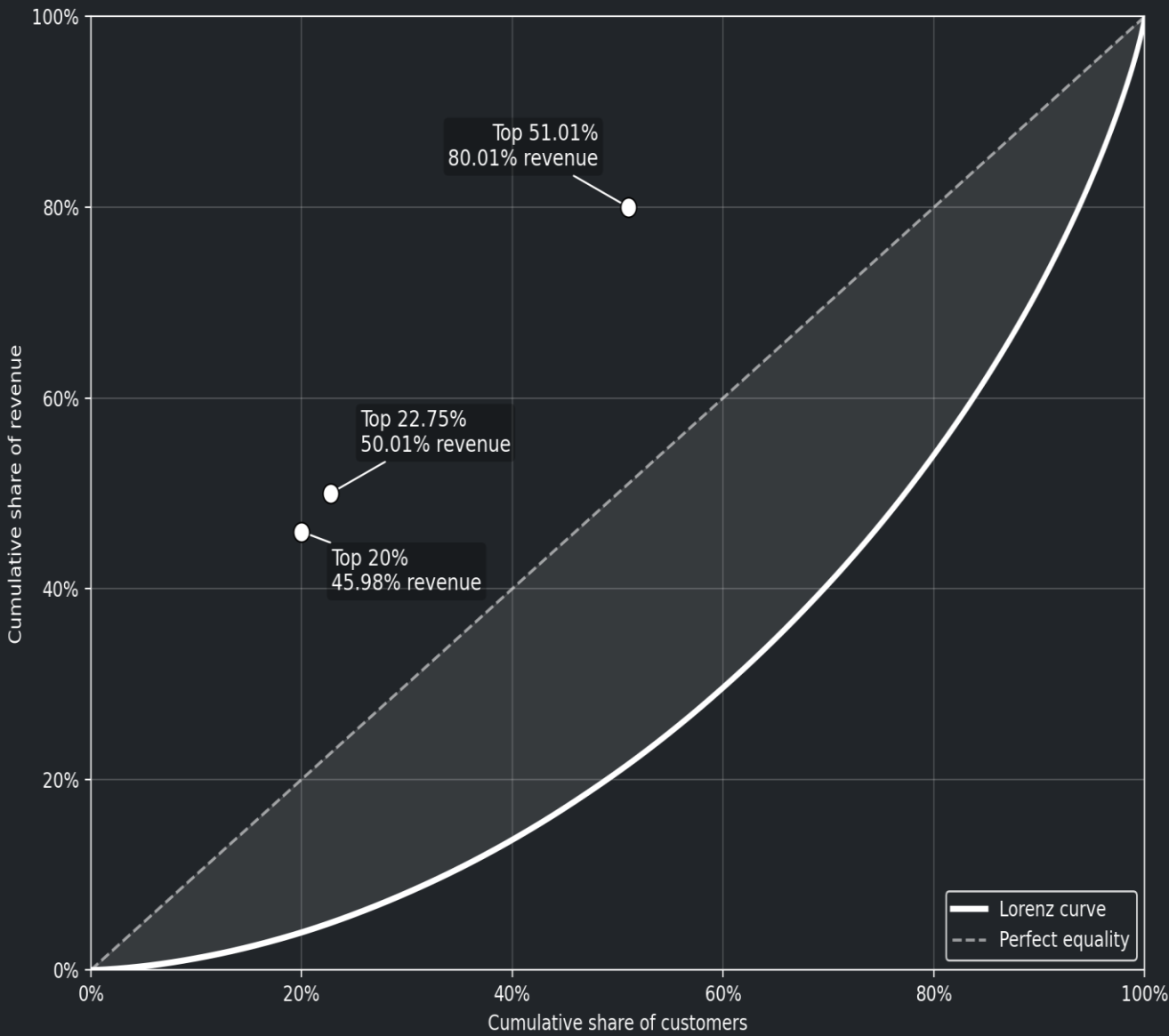
Data-driven analysis of customer, product, and operational drivers

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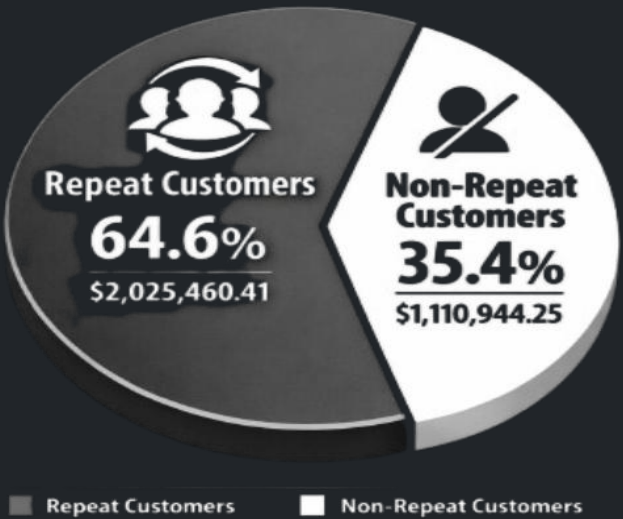


Revenue growth can be accelerated by focusing on high-value customers, improving retention, and optimizing discount strategy.

Revenue concentration: Lorenz curve



Revenue Distribution: Repeat vs Non-Repeat Customers



Share of customers in each membership tiers



Recommendations

- Focus on high-value customers
- Increase retention
- Optimize discounts

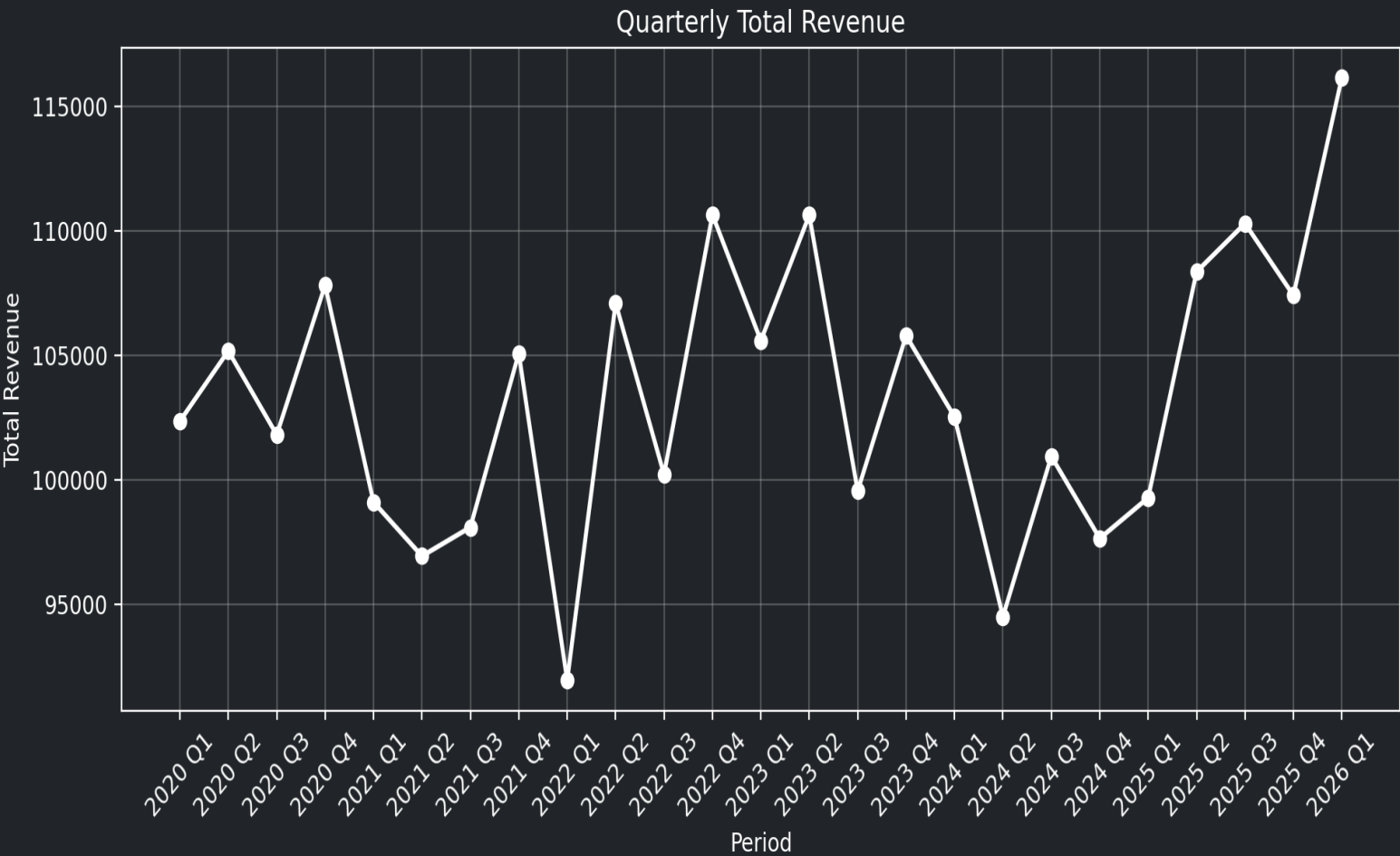
Revenue is growing, but performance varies significantly across time and customer activity

Total Revenue
\$3,136,404.66

Total Orders
25,000

Average Order Value (AOV)
\$125.46

Unique Customers
7,663



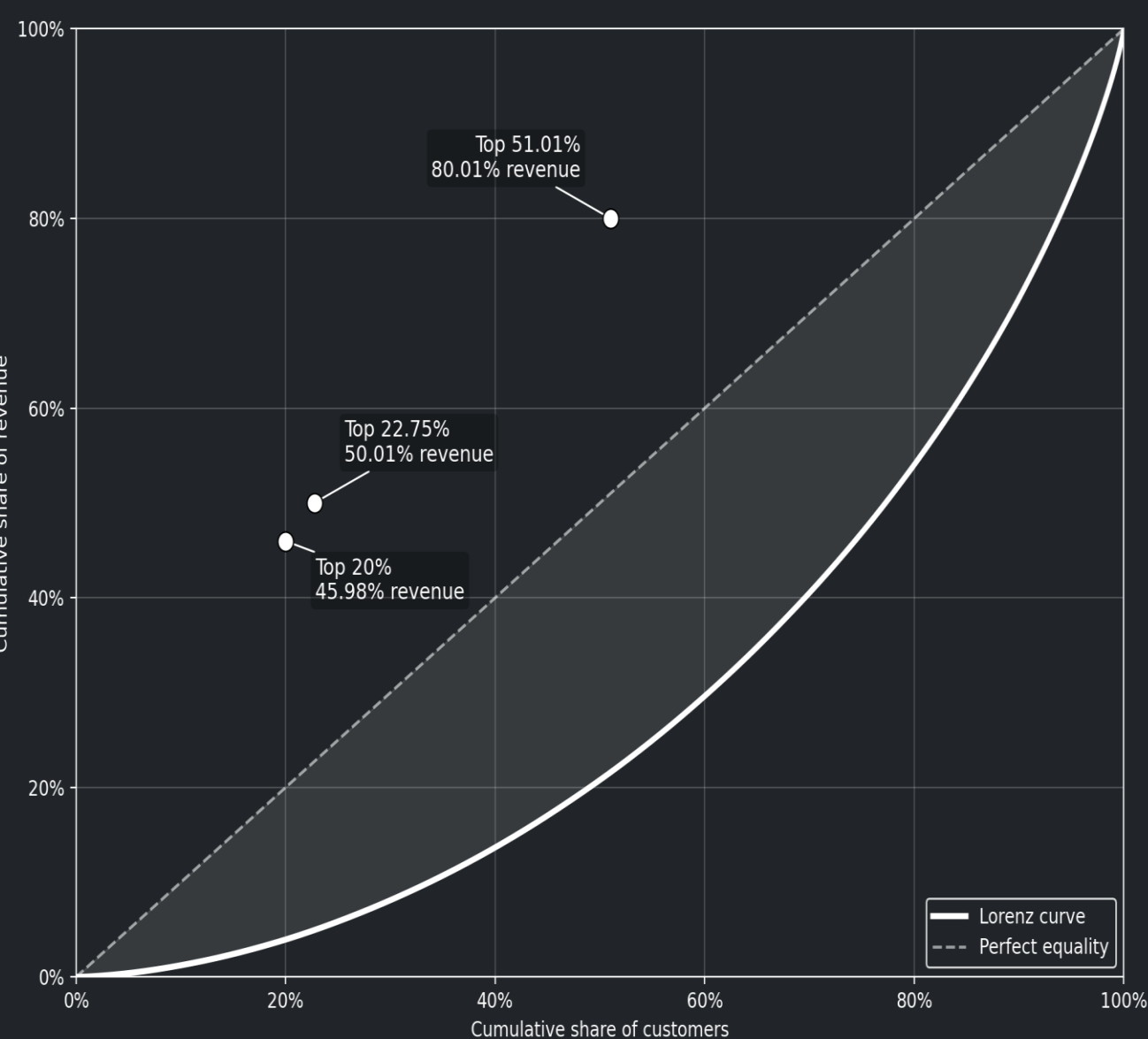
Revenue shows overall growth but fluctuates across months

Order volume does not consistently translate into higher revenue

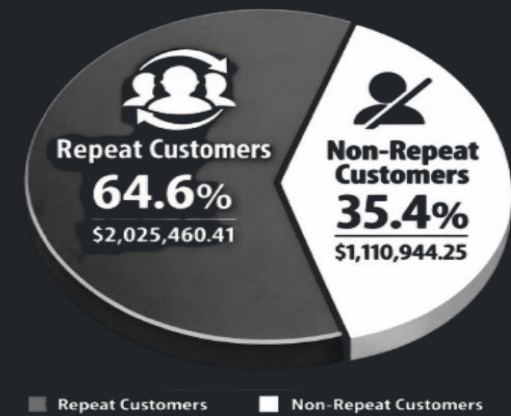
Customer activity varies significantly over time

Key Problem - Revenue growth is constrained by customer concentration, churn, and inconsistent repeat behavior

Revenue concentration: Lorenz curve

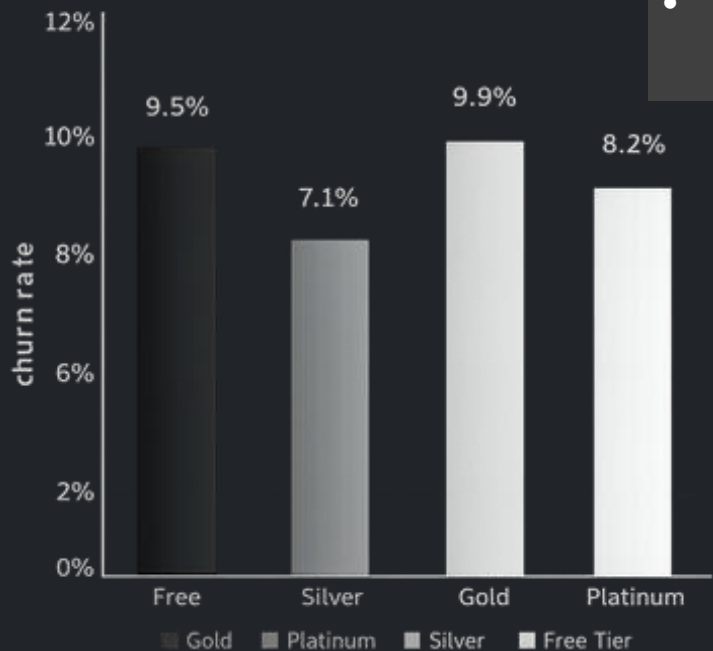


Revenue Distribution: Repeat vs Non-Repeat Customers



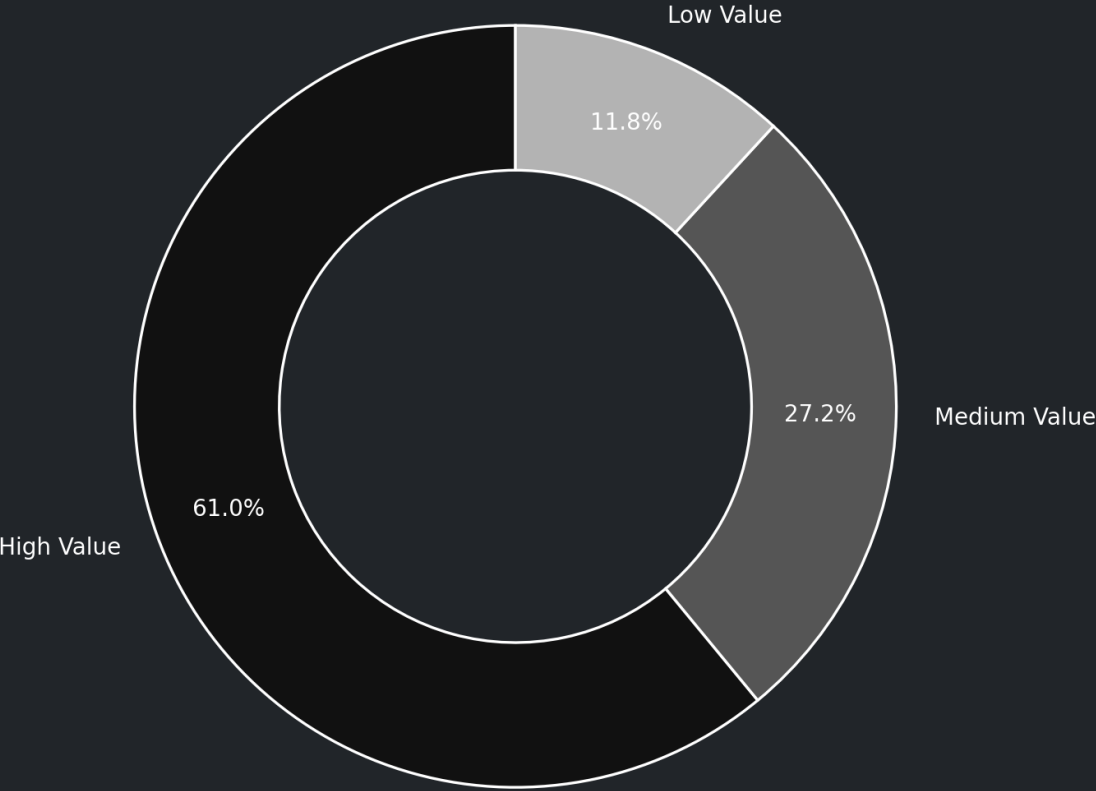
- Key Problem**
- Revenue concentration
 - churn issues
 - inconsistent repeat behavior

Churn Rate by Tier
Share of customers flagged as churned.

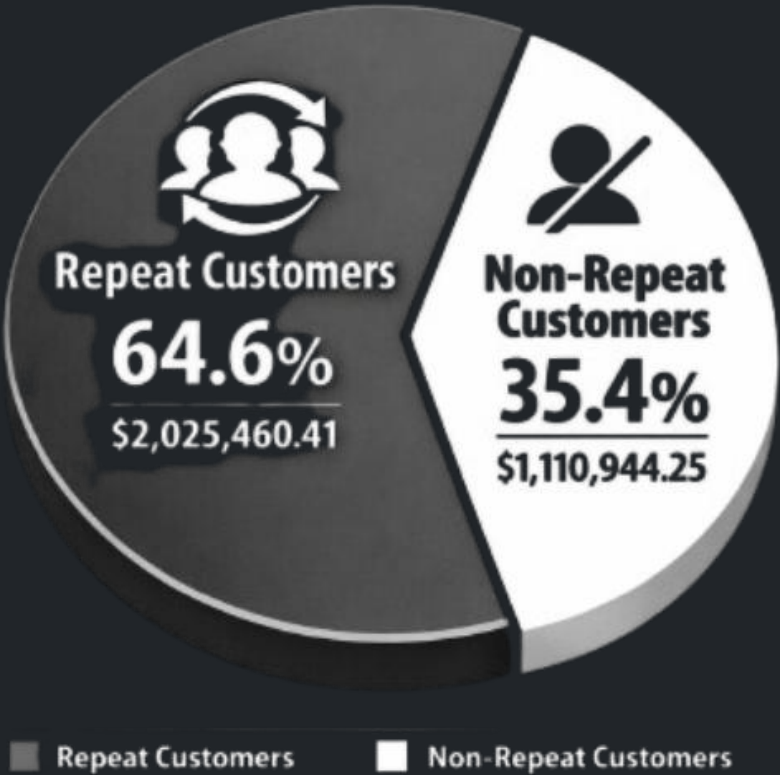


Customer analysis - A small group of high-value and repeat customers drives the majority of revenue

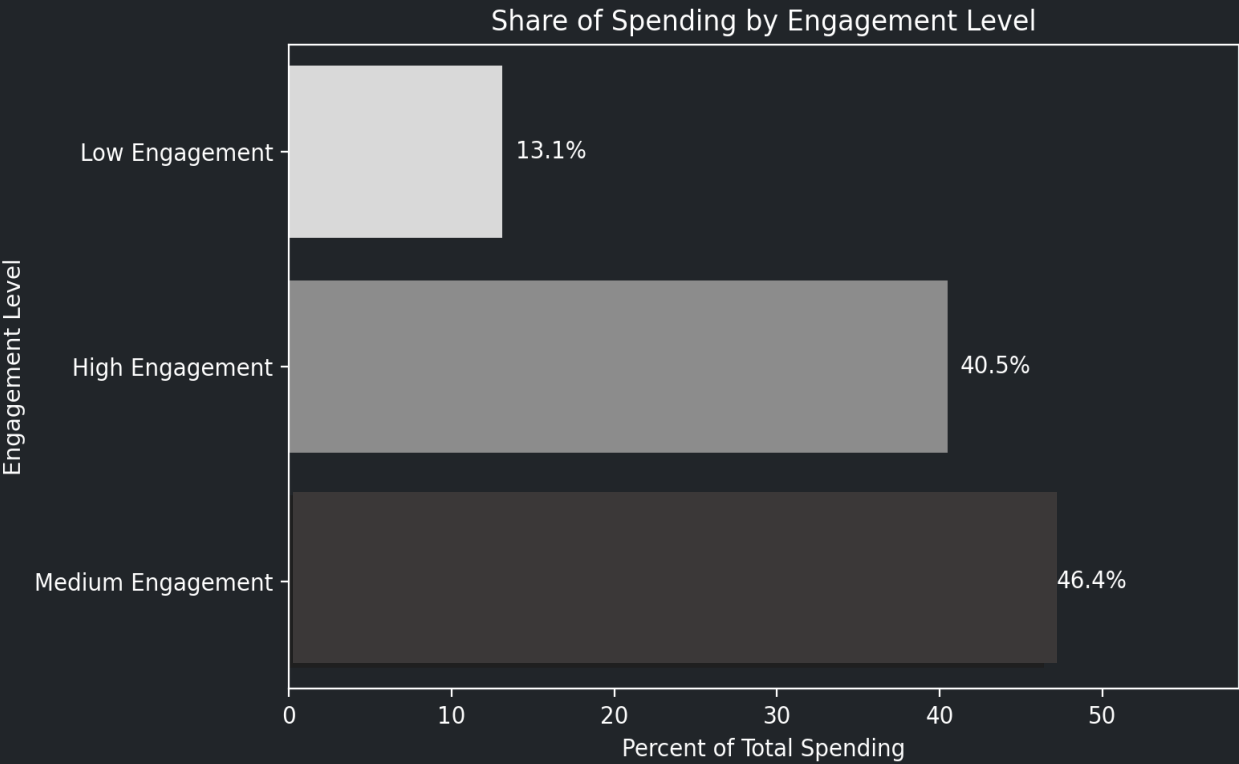
Revenue share by customer segment



Revenue Distribution: Repeat vs Non-Repeat Customers

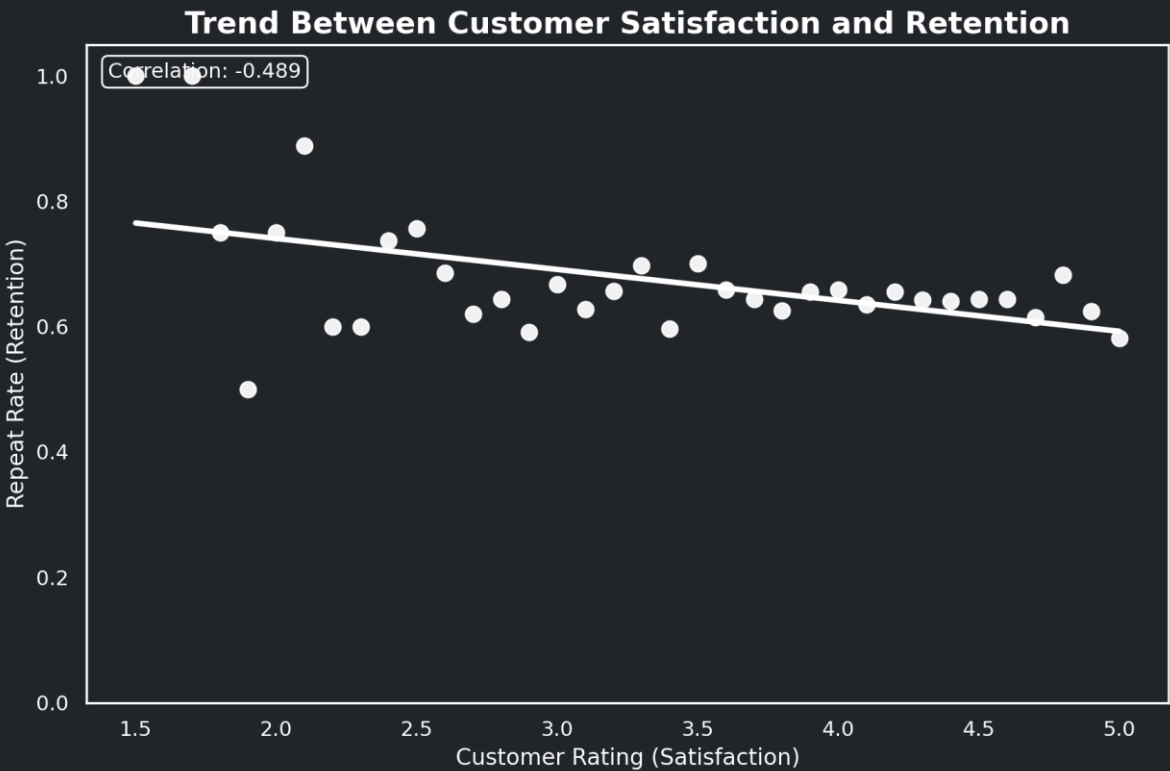


Customer Behavior - Higher engagement significantly increase spending

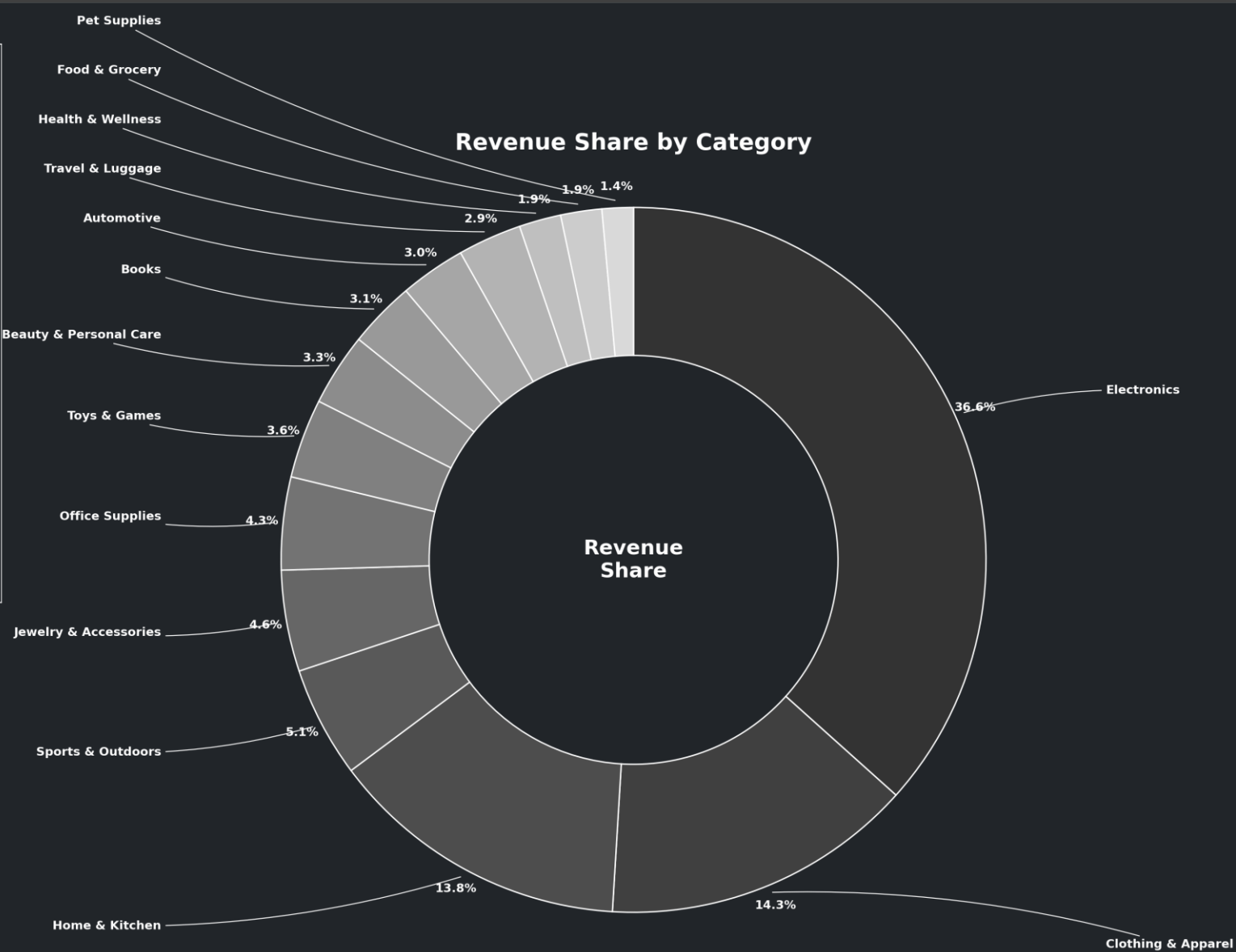
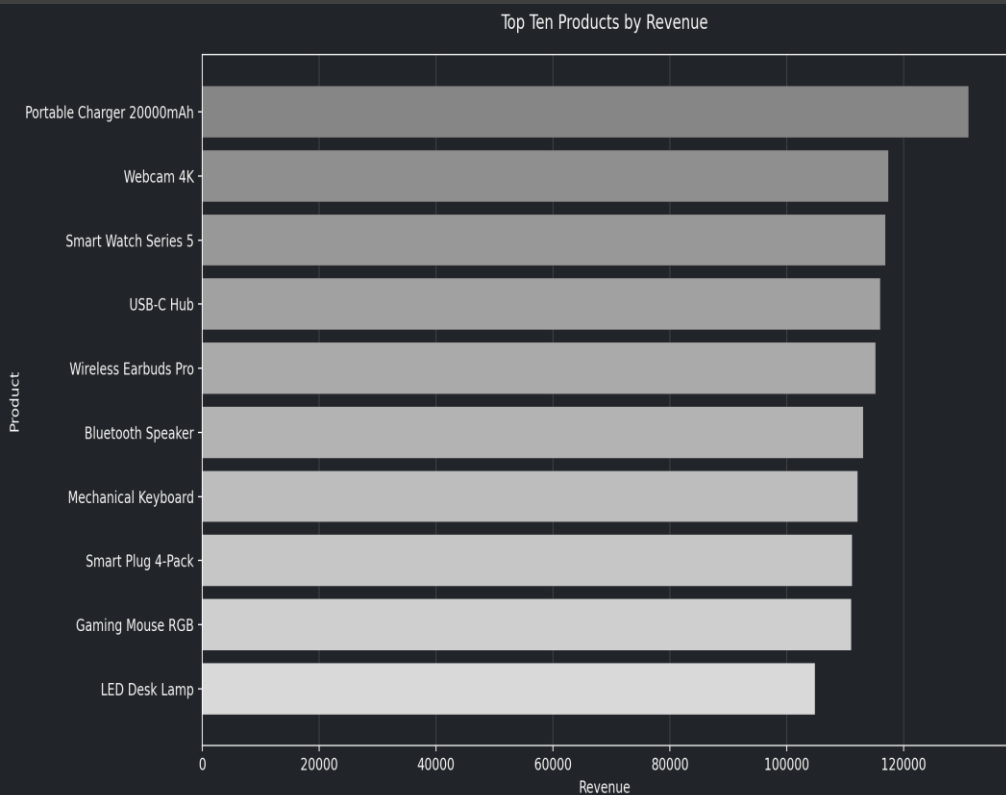


Most of the spending is coming from the medium and high engagement groups, while low engagement customers make up a relatively small slice of total spend.

Higher satisfaction does not appear to translate into higher retention. Retention may be driven by factors other than satisfaction here, or the highly rated customers are not the ones repeating most often.



Product Performance - Revenue is concentrated in key products and categories

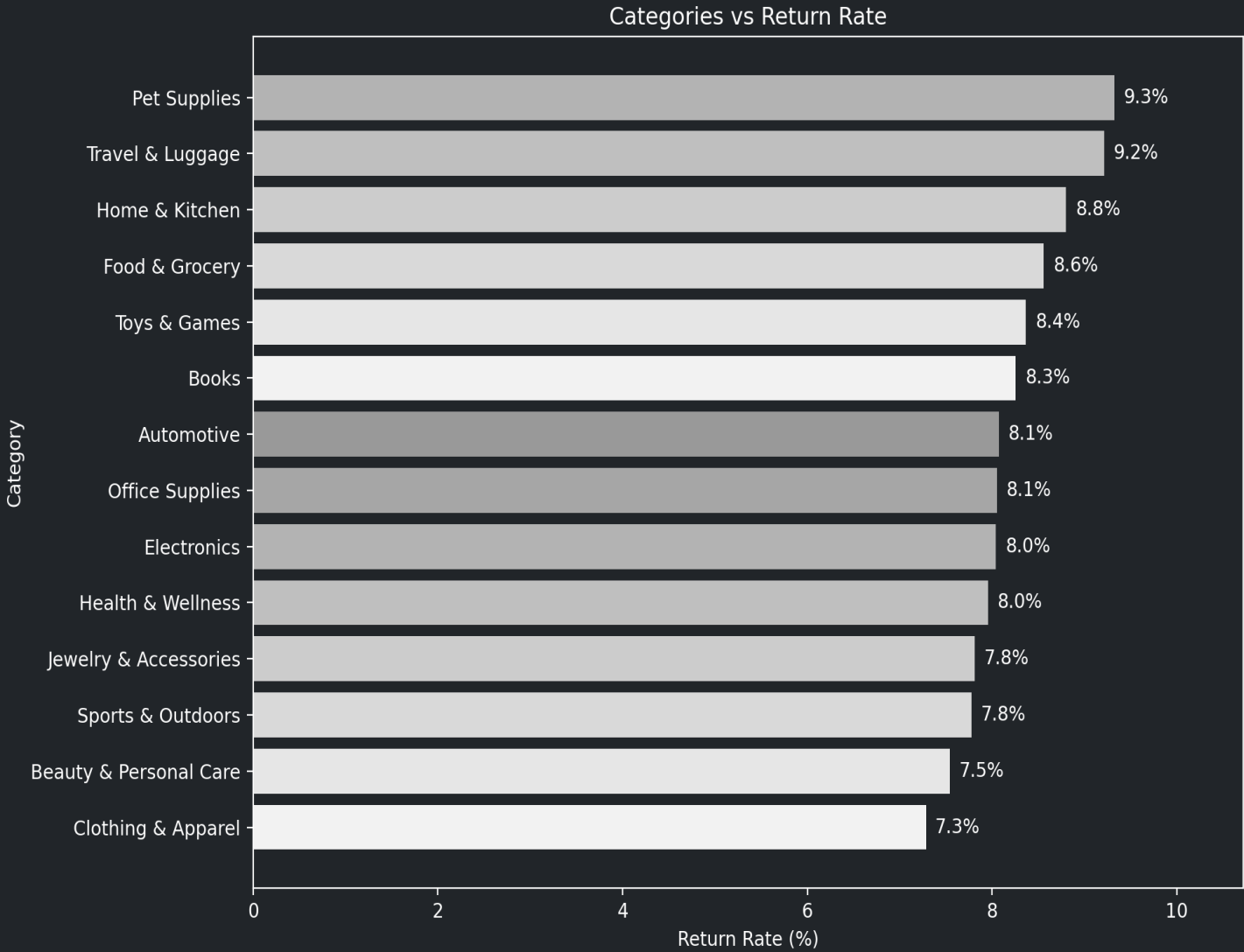
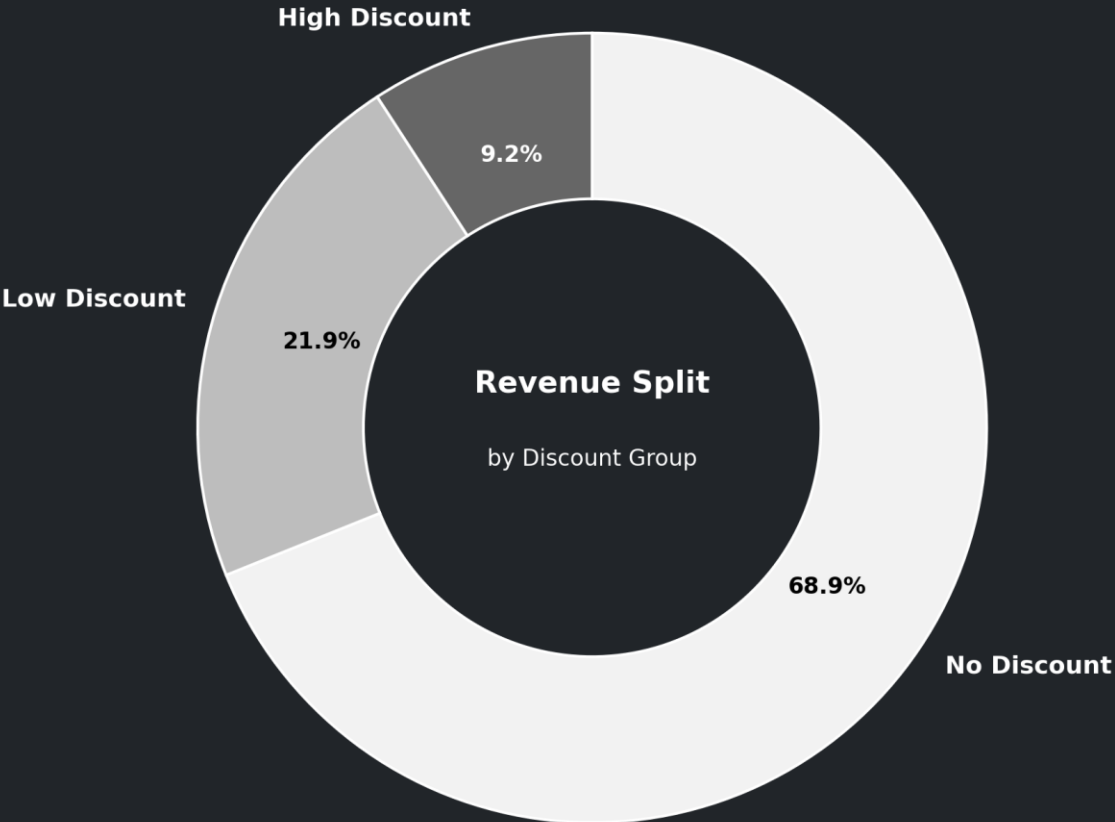


Electronics contributes the largest share of revenue by a wide margin, making it the clear top-performing category. After that, revenue drops off quickly, with **Clothing & Apparel** and **Home & Kitchen** forming a smaller second tier while the rest of the categories each contribute relatively modest shares.

Discount & Rates - Excessive discounting and product returns reduce order value and profitability

Revenue is heavily concentrated in customers who do not receive discounts, with lower-discount orders contributing a much smaller portion of the total.

Share of Total Revenue by Discount Group



Revenue is driven by customer value, retention, and pricing efficiency

What are the key drivers overall?

Customer value

High-value customers contribute more revenue per order and respond better to personalized offers.

Retention

Keeping customers active compounds revenue over time and lowers acquisition pressure.

Pricing efficiency

Smarter discounts and less leakage protect margin while supporting conversion.

Together, these drivers explain why growth improves when the business increases customer quality, strengthens repeat purchase behavior, and uses promotions more selectively.

Recommendations

Focus on High-Value Customers Use targeted marketing to reach customers with the highest purchase potential, instead of spreading spend evenly across all segments. This helps prioritize customers who are more likely to convert, repeat, and contribute stronger lifetime value. Loyalty programs can also reinforce this by rewarding frequent buyers and encouraging them to stay engaged with the brand

Improve Retention Retention should focus on reducing churn and keeping customers active after the first purchase. That means improving the post-purchase experience, using lifecycle email or SMS campaigns, and creating more reasons for customers to come back. Even small gains in repeat purchase rate can have a meaningful effect on revenue over time.

Optimize Discounts Discounts should be used more strategically so they support growth without damaging margin. Instead of blanket promotions for everyone, the business should use targeted discounts for specific customer groups or products where incentives are most likely to drive conversion. This keeps promotions effective while reducing unnecessary revenue leakage.

Impact

Revenue increase

By focusing on higher-value customers and using more targeted campaigns, the business can drive more efficient conversions and generate stronger overall sales growth. This also helps make marketing spend more productive, since efforts are concentrated where they are most likely to pay off

Improved retention

When customers stay active longer and return more often, the business benefits from a larger stream of repeat purchases. That reduces reliance on constant new customer acquisition and improves long-term customer value.

Higher AOV

Smarter pricing and offer strategies can encourage customers to buy more in each order. Targeted promotions can also support upselling or bundling, which helps increase basket size without unnecessarily lowering margin.